Company Registration No. 00538.2011

PT. Affle Indonesia

Annual Financial Statements
31 March 2019

Building a better
working world

PT. Affle Indonesia

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PT. Affle Indonesia

Independent auditor's report
For the financial year ended 31 March 2019

Independent Auditor's Report to the Member of PT. Affle Indonesia

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of PT. Affle Indonesia (the "Company") which comprise the balance sheet of the Company as at 31 March 2019 and the statement of comprehensive income, statement of changes in equity and the cash flow statement of the Company for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at 31 March 2019, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Accounting and Corporate Regulatory Authority (ACRA) *Code of Professional Conduct and Ethics for Public Accountants and Accounting Entities* (ACRA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Singapore, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ACRA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management and Directors for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The directors' responsibilities include overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Auditor's Responsibilities for the Audit of the Financial Statements (cont'd)

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Ernst & Young LLP

Ernst & Young LLP

Public Accountants and
Chartered Accountants
Singapore

15 May 2019

PT. Affle Indonesia

Statement of comprehensive income
For the financial year ended 31 March 2019

	Note	2019 IDR '000	2018 IDR '000
Revenue	4	26,515,529	21,599,706
Other income	5	708,933	78,083
Expenses			
Depreciation	9	91,376	97,353
Allowance for expected credit losses	11	4,843	–
Business development and marketing expenses		(436,910)	1,732,165
Professional fees		308,950	302,208
Project development and service fees		–	138,580
Inventory and data cost		16,047,754	11,848,814
Rental on operating leases		661,500	528,000
Salaries and employee benefits	6	6,982,995	5,400,377
Travelling expenses		171,653	107,121
Finance cost		37,905	38,294
Other expenses	7	286,522	646,727
		24,156,588	20,839,639
Profit before tax		3,067,874	838,150
Income tax expense	8	378,095	199,912
Profit after tax, representing total comprehensive income for the year		2,689,779	638,238

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

PT. Affle Indonesia

Balance sheet
As at 31 March 2019

	Note	2019 IDR '000	2018 IDR '000
Non-current asset			
Plant and equipment	9	145,773	162,839
		145,773	162,839
Current assets			
Trade and other receivables	11	8,145,496	3,119,047
Accrued revenue	10	206,002	410,250
Deposits		112,000	110,000
Prepayments		70,593	69,693
Cash and cash equivalents	12	4,498,508	9,382,898
		13,032,599	13,091,888
Total assets		13,178,372	13,254,727
Current liabilities			
Trade and other payables	13	3,923,018	4,019,379
Amount due to immediate holding company	13	4,588,125	8,375,764
Amount due to related company	13	739,771	–
Provision for tax		580,903	202,808
		9,831,817	12,597,951
Net assets		3,346,555	656,776
Equity attributable to equity holder of the Company			
Share capital	15	4,560,000	4,560,000
Accumulated losses		(1,213,445)	(3,903,224)
Total equity		3,346,555	656,776

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

PT. Affle Indonesia

Statement of changes in equity
For the financial year ended 31 March 2019

	Share capital IDR '000 (Note 15)	**Accumulated losses** IDR '000	**Total equity** IDR '000
As at 1 April 2018	4,560,000	(3,903,224)	656,776
Profit for the year, representing total comprehensive income for the financial year	–	2,689,779	2,689,779
As at 31 March 2019	4,560,000	(1,213,445)	3,346,555
As at 1 April 2017	4,560,000	(4,541,462)	18,538
Profit for the year, representing total comprehensive income for the financial year	–	638,238	638,238
As at 31 March 2018	4,560,000	(3,903,224)	656,776

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

PT. Affle Indonesia

Cash flow statement
For the financial year ended 31 March 2019

	Note	2019 IDR '000	2018 IDR '000
Cash flows from operating activities			
Profit before tax		3,067,874	838,150
Adjustments for:			
Interest income	5	(140,494)	(75,395)
Depreciation	9	91,376	97,353
Allowance for expected credit losses	11	4,843	–
Operating cash flows before changes in working capital		3,023,599	860,108
Decrease in accrued revenue		204,248	183,636
(Increase)/decrease in trade and other receivables		(5,031,292)	8,271,497
Increase in prepayments		(900)	(8,940)
(Increase)/decrease in deposits		(2,000)	5,660
Decrease in trade and other payables		(96,361)	(4,577,104)
Net cash flows (used in)/generated from operations		(1,902,706)	4,734,857
Interest received		140,494	75,395
Net cash flows (used in)/generated from operating activities		(1,762,212)	4,810,252
Cash flows from investing activity			
Purchase of plant and equipment	9	(74,310)	(248,170)
Net cash flows used in investing activity		(74,310)	(248,170)
Cash flows from financing activities			
Repayment to ultimate holding company		–	(3,045,890)
(Repayment to)/advances from immediate holding company		(3,787,639)	3,389,894
Advances from related company		739,771	–
Net cash flows (used in)/generated from financing activities		(3,047,868)	344,004
Net (decrease)/increase in cash and cash equivalents		(4,884,390)	5,154,256
Cash and cash equivalents at 1 April		9,382,898	4,228,642
Cash and cash equivalents at 31 March	12	4,498,508	9,382,898

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

1. Corporate information

PT Affle Indonesia (the "Company") is a limited liability company incorporated and domiciled in Indonesia. The immediate holding company is Affle International Pte Ltd, which is incorporated in Singapore.

The ultimate holding company is Affle Holdings Pte Ltd, incorporated in Singapore. Related companies in these financial statements refer to subsidiaries of Affle Holdings Pte. Ltd.

The principal activity of the Company is rendering service through Mobile Audience as a Service ("MAAS") platform ("the Platform"). The Platform uses cloud based audience algorithms to build, promote and monetize mobile assets for our customers. There have been no significant changes in the nature of these activities during the financial year.

2. Summary of significant accounting policies

2.1 Basis of preparation

The financial statements of the Company have been prepared in accordance with International Financial Reporting Standards ("IFRS").

The financial statements have been prepared on a historical cost basis except as disclosed in the accounting policies below.

The financial statements are presented in Indonesian Rupiah ("IDR") and all values in the tables are rounded to the nearest thousand ($'000), unless otherwise indicated.

2.2 Changes in accounting policies

The Company applied IFRS 15 and IFRS 9 for the first time. The nature and effect of the changes as a result of adoption of these new accounting standards are described below.

Several other amendments and interpretations apply for the first time in 2018, but do not have any impact on the financial statements of the Company. The Company has not early adopted any standards, interpretations or amendments that have been issued but are not yet effective.

(a) IFRS 15 Revenue from Contracts with Customers

IFRS 15 supersedes IAS 18 Revenue and related interpretations and it applies, with limited exceptions, to all revenue arising from contracts with its customers. IFRS 15 establishes a five-step model to account for revenue arising from contracts with customers and requires that revenue be recognised at an amount that reflects the consideration which an entity expects to be entitled in exchange for transferring goods or services to a customer.

IFRS 15 requires the Company to exercise judgement, taking into consideration all of the relevant facts and circumstances when applying each step of the model to contracts with their customers. The standard also specifies the accounting for the incremental costs of obtaining a contract and the costs directly related to fulfilling a contract. In addition, the standard requires extensive disclosures.

The Company elected to adopt IFRS 15 using the modified retrospective method.

2. Summary of significant accounting policies (cont'd)

2.2 *Changes in accounting policies (cont'd)*

(a) IFRS 15 Revenue from Contracts with Customers (cont'd)

Services rendered for mobile assets (Consumer Platform)

The Company's contracts with customers for services rendered for mobile assets generally includes a single performance obligation. The Company has concluded that for services rendered for mobile assets, they should be recognised over a period of time when control of the asset is progressively transferred to the customer, generally upon customer acceptance. Therefore, the adoption of IFRS 15 did not have an impact on the timing of revenue recognition.

(b) IFRS 9 Financial Instruments

IFRS 9 Financial Instruments replaces IAS 39 Financial Instruments: Recognition and Measurement for annual periods beginning on or after 1 January 2018, bringing together all three aspects of the accounting for financial instruments: classification and measurement; impairment; hedge accounting.

The Company has applied IFRS 9 retrospectively, with the initial application date of 1 April 2018. Except for hedge accounting, retrospective application is required but providing comparative information is not compulsory.

Impairment

The adoption of IFRS 9 has fundamentally changed the Company's accounting for impairment losses for financial assets by replacing IAS 39's incurred loss approach with a forward-looking expected credit loss (ECL) approach. IFRS 9 requires the Company to record an allowance for ECLs for all loans and other debt financial assets not held at fair value through profit or loss.

ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive. The shortfall is then discounted at an approximation to the asset's original effective interest rate.

For trade and other receivables, the Company has applied the standard's simplified approach and has calculated ECLs based on lifetime expected credit losses. The Company has established a provision matrix that is based on the Company's historical credit loss experience with necessary adjustments for forward-looking factors specific to the debtors and the economic environment.

The Company considers a financial asset in default when contractual payments are 270 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company.

The Company has applied IFRS 9 retrospectively, with the initial application date of 1 April 2018. The adoption of the ECL requirements of IFRS 9 did not result in any significant impact in impairment allowances of the Company's debt financial assets.

2. Summary of significant accounting policies (cont'd)

2.3 *Standards issued but not yet effective*

The Company has not adopted the following standards and interpretations that have been issued but not yet effective:

Description	***Effective for annual periods beginning on or after***
IFRS 16 *Leases*	1 January 2019
IFRIC 23 *Uncertainty over Income Tax Treatments*	1 January 2019

Except for IFRS 16, the directors expect that the adoption of the other standards above will have no material impact on the financial statements in the period of initial application. The nature of the impending changes in accounting policy on adoption of IFRS 16 are described below.

IFRS 16 *Leases*

IFRS 16 requires lessees to recognise most leases on balance sheets. The standard includes two recognition exemption for lessees – leases of 'low value' assets and short-term leases. IFRS 16 is effective for annual periods beginning on or after 1 January 2019. At commencement date of a lease, a lessee will recognise a liability to make a lease payment (i.e. the lease liability) and an asset representing the right to use the underlying asset during the lease term (i.e. the right-of-use asset). Lessees will be required to separately recognise the interest expense on the lease liability and depreciation expense on the right-of-use asset. The Company is currently assessing the impact of the new standard and plans to adopt the new standard on the required effective date.

The Company plans to adopt IFRS 16 retrospectively with the cumulative effect of initially applying the standard as an adjustment to the opening retained earnings at the date of initial application, 1 January 2019.

On the adoption of IFRS 16, the Company expects to choose, on a lease-by-lease basis, to measure the right-of-use asset at either:

(i) its carrying amount as if IFRS 16 had been applied since the commencement date, but discounted using the lessee's incremental borrowing rate as of 1 January 2019;

(ii) or an amount equal to the lease liability, adjusted by the amount of any prepaid or accrued lease payments relating to that lease recognised in the statement of financial position immediately before 1 January 2019.

In addition, the Company plans to elect the following practical expedients:

- not to reassess whether a contract is, or contains a lease at the date of initial application and to apply IFRS 16 to all contracts that were previously identified as leases
- to apply the exemption not to recognise right-of-use asset and lease liabilities to leases for which the lease term ends within 12 months as of 1 January 2019
- to apply a single discount rate to a portfolio of leases with reasonably similar characteristics

The Company is currently assessing the impact of IFRS 16 and plans to adopt the new standard on the required effective date.

2. Summary of significant accounting policies (cont'd)

2.4 Foreign currency

The financial statements are presented in Indonesian Rupiah, which is also the Company's functional currency.

Transactions in foreign currencies are measured in the functional currency of the Company and are recorded on initial recognition in the functional currency at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the end of the reporting period. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was measured.

2.5 Plant and equipment

All items of plant and equipment are initially recorded at cost. Subsequent to recognition, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses.

When significant parts of plant and equipment are required to be replaced in intervals, the Company recognises such parts as individual assets with specific useful lives and depreciation, respectively. Likewise, when a major inspection is performed, its cost is recognised in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognised in profit or loss as incurred.

Depreciation is computed on a straight-line basis over the estimated useful lives of the assets as follows:

Computers	-	3 years

The carrying values of plant and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable.

The residual value, useful life and depreciation method are reviewed at each financial year-end, and adjusted prospectively, if appropriate.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss on de-recognition of the asset is included in profit or loss in the year the asset is derecognised.

2. Summary of significant accounting policies (cont'd)

2.6 Impairment of non-financial assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when an annual impairment testing for an asset is required, the Company makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset or cash-generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Impairment losses are recognised in profit or loss.

A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increase cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised previously. Such reversal is recognised in profit or loss.

2.7 Financial instruments

(a) Financial assets

Initial recognition and measurement

Financial assets are recognised when, and only when the entity becomes party to the contractual provisions of the instruments.
At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

Trade receivables are measured at the amount of consideration to which the Group expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third party, if the trade receivables do not contain a significant financing component at initial recognition.

Subsequent measurement

Investments in debt instruments

Subsequent measurement of debt instruments depends on the Group's business model for managing the asset and the contractual cash flow characteristics of the asset. The three measurement categories for classification of debt instruments are:

(i) Amortised cost

Financial assets that are held for the collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Financial assets are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in profit or loss when the assets are derecognised or impaired, and through amortisation process.

2. Summary of significant accounting policies (cont'd)

2.7 *Financial instruments (cont'd)*

(a) Financial assets (cont'd)

Subsequent measurement (cont'd)

Investments in debt instruments (cont'd)

(ii) Fair value through other comprehensive income (FVOCI)

Financial assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVOCI. Financial assets measured at FVOCI are subsequently measured at fair value. Any gains or losses from changes in fair value of the financial assets are recognised in other comprehensive income, except for impairment losses, foreign exchange gains and losses and interest calculated using the effective interest method are recognised in profit or loss. The cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to profit or loss as a reclassification adjustment when the financial asset is de-recognised.

(iii) Fair value through profit or loss

Assets that do not meet the criteria for amortised cost or FVOCI are measured at fair value through profit or loss. A gain or loss on a debt instruments that is subsequently measured at fair value through profit or loss and is not part of a hedging relationship is recognised in profit or loss in the period in which it arises.

Derecognition

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income for debt instruments is recognised in profit or loss.

(b) Financial liabilities

Initial recognition and measurement

Financial liabilities are recognised when, and only when, the Group becomes a party to the contractual provisions of the financial instrument. The Group determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value plus in the case of financial liabilities not at fair value through profit or loss, directly attributable transaction costs.

Subsequent measurement

After initial recognition, financial liabilities that are not carried at fair value through profit or loss are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the liabilities are derecognised, and through the amortisation process.

2. Summary of significant accounting policies (cont'd)

2.7 *Financial instruments (cont'd)*

(b) Financial liabilities (cont'd)

De-recognition

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expires. On derecognition, the difference between the carrying amounts and the consideration paid is recognised in profit or loss.

2.8 *Impairment of financial assets*

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is recognised for credit losses expected over the remaining life of the exposure, irrespective of timing of the default (a lifetime ECL).

For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

The Company considers a financial asset in default when contractual payments are 120 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

2.9 *Cash and cash equivalents*

Cash and cash equivalents comprise cash at bank and on hand and demand deposits.

2.10 *Provisions*

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

2. Summary of significant accounting policies (cont'd)

2.11 Employee benefits

(a) Defined contribution plan

The Company participates in the national pension schemes as defined by the law in Indonesia. The Company makes contributions to the Social Insurance Administration Organisation in Indonesia, a defined contribution pension scheme. Contributions to defined contribution pension schemes are recognised as an expense in the period in which the related service is performed.

(b) Employee leave entitlement

Employee entitlements to annual leave are recognised as a liability when they are accrued to the employees. The undiscounted liability for leave expected to be settled wholly before twelve months after the end of the reporting period is recognised for services rendered by employees up to the end of the reporting period.

2.12 Leases

As lessee

Finance leases which transfer to the Company substantially all the risks and rewards incidental to ownership of the leased item, are capitalised at the inception of the lease at the fair value of the leased asset or, if lower, at the present value of the minimum lease payments. Any initial direct costs are also added to the amount capitalised. Lease payments are apportioned between the finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are charged to profit or loss. Contingent rents, if any, are charged as expenses in the periods in which they are incurred.

Operating lease payments are recognised as an expense in profit or loss on a straight-line basis over the lease term. The aggregate benefit of incentives provided by the lessor is recognised as a reduction of rental expense over the lease term on a straight-line basis.

2.13 Revenue

Revenue is measured based on the consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

Revenue is recognised when the Company satisfies a performance obligation by transferring a promised good or service to the customer, which is when the customer obtains control of the good or service. A performance obligation may be satisfied at a point in time or over time. The amount of revenue recognised is the amount allocated to the satisfied performance obligation.

(a) Development of mobile assets (Enterprise Platform)

Revenue from the development of mobile assets is recognised by reference to the stage of completion at the end of the reporting period by using the percentage-of-completion method based on the actual service provided as a proportion of the total services to be performed. Where the contract outcome cannot be measured reliably, revenue is recognised to the extent of the expenses recognised that are recoverable.

2. Summary of significant accounting policies (cont'd)

2.13 Revenue (cont'd)

(b) Services rendered for mobile assets (Consumer Platform)

Revenue from services rendered for mobile assets is recognised on accrual basis upon rendering of services based on the terms of the contracts. In terms of contracts, excess/shortfall of revenue over the billed as at the period-end is carried in financial statement as gross amount due from/to customers for contract work-in-progress.

(c) Interest income

Interest income is recognised using the effective interest method.

2.14 Taxes

(a) Current income tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the end of the reporting period, in the countries where the Company operates and generates taxable income.

Current income taxes are recognised in profit or loss except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

(b) Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of the reporting period between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognised for all temporary differences, except:

- Where the deferred tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and

- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

2. Summary of significant accounting policies (cont'd)

2.14 Taxes (cont'd)

(b) Deferred tax (cont'd)

Deferred tax assets are recognised for all deductible temporary differences, carry forward of unused tax credits and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised except:

- Where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and

- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred income tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are reassessed at the end of each reporting period and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the end of each reporting period.

Deferred tax relating to items recognised outside profit or loss is recognised outside profit or loss. Deferred tax items are recognised in correlation to the underlying transaction either in other comprehensive income or directly in equity and deferred tax arising from a business combination is adjusted against goodwill on acquisition.

2.15 Share Capital

Proceeds from issuance of ordinary shares are recognised as share capital in equity. Incremental costs directly attributable to the issuance of ordinary shares are deducted against share capital.

2. Summary of significant accounting policies (cont'd)

2.16 Contingencies

A contingent liability is:

(a) A possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or

(b) A present obligation that arises from past events but is not recognised because:

(i) It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or

(ii) The amount of the obligation cannot be measured with sufficient reliability.

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company.

Contingent liabilities and assets are not recognised on the balance sheet of the Company, except for contingent liabilities assumed in a business combination that are present obligations and which the fair values can be reliably determined.

3. Significant accounting judgements and estimates

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the disclosure of contingent liabilities at the end of each reporting period. Uncertainty about these assumptions and estimates could result in outcomes that could require a material adjustment to the carrying amount of the asset or liability affected in the future periods.

3.1 *Key sources of estimation uncertainty*

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of each reporting period are discussed below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

(a) Revenue recognition

The Company recognises revenue by reference to the stage of completion of the contract activity at the end of each reporting period, when the outcome of contract can be estimated reliably. The stage of completion is measured by reference to the proportion that contract costs incurred for work performed to date to the estimated total contract costs. Significant assumptions are required to estimate the total contract costs. In making these estimates, management had relied on past experience and knowledge of the project engineers.

3. Significant accounting judgements and estimates (cont'd)

3.1 *Key sources of estimation uncertainty (cont'd)*

(b) Provision for expected credit losses of trade receivables

The Company uses a provision matrix to calculate ECLs for trade receivables. The provision rates are based on days past due for groupings of various customer segments that have similar loss patterns.

The provision matrix is initially based on the Company's historical observed default rates. The Company will calibrate the matrix to adjust historical credit loss experience with forward-looking information. At every reporting date, historical default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and forecast of economic conditions. The Company's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future. The information about the ECLs on the Company's trade receivables is disclosed in Note 11.

The carrying amount of trade receivables at the end of the reporting period is disclosed in Note 11.

4. Revenue

	2019 IDR '000	2018 IDR '000
Services rendered for mobile assets (Consumer Platform)	26,515,529	21,096,942
Development of mobile assets (Enterprise Platform)	–	502,764
	26,515,529	21,599,706
Business unit		
Advertisement – SEA	26,405,805	21,599,706
Vizury	109,724	–
	26,515,529	21,599,706
Timing of transfer of goods and services		
At a point in time	26,515,529	21,096,942
Over time	–	502,764

5. Other income

	2019 IDR '000	2018 IDR '000
Interest income	140,494	78,083
Foreign exchange gain	568,439	–
	708,933	78,083

6. Salaries and employee benefits

	2019 IDR '000	2018 IDR '000
Salaries and bonuses	6,524,393	5,226,151
Defined contribution plan	193,272	104,082
Other short term benefits	265,330	70,144
	6,982,995	5,400,377

7. Other expenses

	2019 IDR '000	2018 IDR '000
Communication expenses	7,878	5,630
Miscellaneous expenses	30,917	50,458
Foreign exchange loss	–	361,554
Others	247,727	229,085
	286,522	646,727

8. Income tax expense

Major components of income tax expense

The major components of income tax expense for the years ended 31 March 2019 and 2018 are:

	2019 IDR '000	**2018** IDR '000
Statement of comprehensive income		
Income tax:		
Current income taxation	(575,040)	(199,912)
Overprovision in prior year	196,945	–
Income tax expense recognised in profit or loss	(378,095)	(199,912)

Relationship between tax expense and accounting profit

A reconciliation between tax expense and the product of accounting profit multiplied by the applicable corporate tax rate for the years ended 31 March 2019 and 2018 are as follows:

	2019 IDR '000	**2018** IDR '000
Profit before tax	(3,067,874)	(838,151)
Tax calculated at a tax rate of 25% (2018: 25%)	(766,968)	(209,538)
Effects of:		
Income not subject to taxation	189,241	19,521
Non-deductible expenses	(54,542)	(32,437)
Effect of partial tax exemption	57,229	22,542
Overprovision in prior year	196,945	–
Income tax expense recognised in profit or loss	(378,095)	(199,912)

9. Plant and equipment

	Computers IDR '000	Total IDR '000
Cost		
At 1 April 2017	86,861	86,861
Additions	248,170	248,170
At 31 March 2018 and 1 April 2018	335,031	335,031
Additions	74,310	74,310
At 31 March 2019	409,341	409,341
Accumulated depreciation		
At 1 April 2017	74,839	74,839
Depreciation charge for the year	97,353	97,353
At 31 March 2018 and 1 April 2018	172,192	172,192
Depreciation charge for the year	91,376	91,376
At 31 March 2019	263,568	263,568
Net carrying amount		
At 31 March 2018	162,839	162,839
At 31 March 2019	145,773	145,773

10. Accrued revenue

Accrued revenue relates to completed services rendered for mobile assets that has yet to be billed to customers.

11. Trade and other receivables

	2019 IDR '000	2018 IDR '000
Trade and other receivables (current)		
Trade receivables from third parties	6,719,106	2,543,378
Other receivables	1,431,233	575,669
	8,150,339	3,119,047
Allowance for expected credit losses	(4,843)	–
Total trade and other receivables	8,145,496	3,119,047
Add: Cash and cash equivalents (Note 12)	4,498,508	9,382,898
Total financial assets carried at amortized cost	12,644,004	12,501,945

11. Trade and other receivables (cont'd)

Trade receivables

Trade receivables are non-interest bearing and are generally on 30 to 90 days' terms. They are recognised at their original invoice amounts which represent their fair values on initial recognition.

Receivables that are past due but not impaired

The Company has trade receivables amounting to IDR 1,426,535,000 as at 31 March 2018 that are past due at the end of the reporting period but not impaired. These receivables are unsecured and the analysis of their aging at the end of the reporting period is as follows:

	2018 IDR '000
Trade receivables past due but not impaired:	
Less than 30 days	1,014,317
31 to 60 days	143,819
61 to 90 days	268,399
More than 90 days	–
	1,426,535

Allowance for expected credit losses

The movement in allowance for expected credit losses of trade receivables is computed based on lifetime ECL is as follows:

	2019 IDR '000	**2018** IDR '000
Movement in allowance accounts:		
At 1 April 2018	–	–
Allowance for expected credit losses	4,843	–
At 31 March 2019	4,843	–

Credit risk exposure on trade receivables using a provision matrix

31 March 2019		Days past due			
	Current IDR '000	> 31 to 60 days IDR '000	> 61 to 90 days IDR '000	> 90 days IDR '000	Total IDR '000
Carrying amount of trade receivables	2,048,258	1,867,529	620,461	2,182,858	6,719,106
Expected credit loss	–	–	–	4,843	4,843

Trade receivables that are individually determined to be impaired at the end of the reporting period relate to debtors that are in significant financial difficulties and have defaulted on payments. These receivables are not secured by any collateral or credit enhancements.

12. Cash and cash equivalents

	2019 IDR '000	2018 IDR '000
Cash at bank	1,398,508	2,045,409
Short term deposits	3,100,000	7,337,489
	4,498,508	9,382,898

Cash at banks earns interest at floating rates based on daily bank deposit rates. Short-term deposits are made for varying periods of between one to three months, depending on the immediate cash requirements of the Company, and earn interest at the respective short-term deposit rates. The effective interest rate as at 31 March 2019 for the Company was 5.05% (2018: 2.45%).

Cash and cash equivalents denominated in foreign currency at 31 March are as follows:

	2019 IDR '000	2018 IDR '000
United States Dollar	488,474	945,408

13. Trade and other payables

	2019 IDR '000	2018 IDR '000
Trade and other payables (current)		
Trade payables	316,452	700,796
Accruals	3,422,489	3,275,904
Other payables	184,077	42,679
Total trade and other payables	3,923,018	4,019,379
Add: Amount due to holding company (Note 14)	4,588,125	8,375,764
Add: Amount due to related company (Note 14)	739,771	–
Less: VAT payables	(109,540)	(96,853)
Total financial liabilities carried at amortised cost	9,141,374	12,298,290

Trade and other payables denominated in foreign currency at 31 March are as follows:

	2019 IDR '000	2018 IDR '000
United States Dollar	867,822	623,029
Singapore Dollar	157,500	161,417

14. Amount due to holding company
Amount due to related company

Amount due to both ultimate immediate holding and related company are non-trade related, unsecured, non-interest bearing repayable upon demand and are to be settled in cash.

15. Share capital

	2019		2018	
	No. of shares	IDR '000	No. of shares	IDR '000
Issued and fully paid ordinary shares				
At 1 April and 31 March	400,000	4,560,000	400,000	4,560,000

The holders of ordinary shares are entitled to receive dividends as and when declared by the Company. All ordinary shares carry one vote per share without restrictions. The ordinary shares have no par value.

16. Related party transactions

(a) Sales and purchase of services

Other than the related party information disclosed elsewhere in the financial statements, the following are transactions between the Company and related parties during the financial year:

	2019 IDR '000	2018 IDR '000
Service received from immediate holding company	9,236,715	(7,078,671)
Service received from related company	1,695,726	–
Recharge of manpower cost from immediate holding company	423,743	(884,199)
Recharge of manpower cost from related company	202,576	–

(b) Key management personnel compensation

Key management personnel compensation is as follows:

	2019 IDR '000	2018 IDR '000
Salaries and bonuses	2,370,147	1,640,091
Defined contribution plan	75,822	15,816
	2,445,969	1,655,907

17. Commitments

Operating lease commitments – as lessee

The Company has entered into commercial leases for its office premises and equipment. These leases have an average tenure of one year with renewal option but no contingent rent provision included in the contract. Future minimum rentals under non-cancellable leases as at 31 March are as follows:

	2019 IDR '000	2018 IDR '000
Not later than one year	499,500	163,500
	499,500	163,500

Operating lease payments recognised as an expense in the profit or loss during the year amounting to IDR 661,500,000 (2018: IDR 528,000,000).

18. Fair value of financial instruments

Fair value of financial instruments by classes that are not carried at fair value and whose carrying amounts are reasonable approximate of fair value

Cash and cash equivalents, trade and other receivables, trade and other payables, amount due to immediate holding/related company based on their notional amounts, reasonably approximate their fair value due to short term in nature.

19. Financial risk management objectives and policies

The Company is exposed to financial risks arising from its operations and the use of financial instruments. The key financial risks include credit risk and liquidity risk. The board of directors reviews and agrees policies and procedures for the management of these risks. Throughout the current financial year, the Company did not engage in speculative activities.

The following sections provide details regarding the Company's exposure to the above-mentioned financial risks and the objectives, policies and processes for the management of these risks.

(a) Credit risk

Credit risk is the risk of loss that may arise on outstanding financial instruments should a counterparty default on its obligations. The Company's exposure to credit risk arises primarily from trade and other receivables. For other financial assets (including cash and cash equivalents), the Company minimises credit risk by dealing exclusively with high credit rating counterparties.

The Company has no significant concentration of credit risk. The Company has policies in place to ensure that transactions are entered into only with counterparties that are of acceptable credit quality. In addition, receivables balances are monitored on an ongoing basis with the result that the Company's exposure to bad debts is not significant.

19. Financial risk management objectives and policies (cont'd)

(a) Credit risk (cont'd)

The maximum exposure to credit risk is represented by the net carrying amount of financial assets recorded in the financial statements. No other financial assets carry a significant exposure to credit risk.

Exposure to credit risk

At the end of the reporting period, the Company's maximum exposure to credit risk is represented by the outstanding trade and other receivables and cash and cash equivalents as disclosed in Note 11 and 12 respectively.

(b) Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting financial obligations due to shortage of funds. The Company's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities.

Analysis of financial instrument by remaining contractual maturities

The table below summarises the maturity profile of the Company's financial assets and liabilities at the end of the reporting period based on contractual undiscounted repayment obligations.

2019	One year or less IDR '000	One year or more IDR '000	Total IDR '000
Financial assets:			
Loans and receivables	12,644,004	–	12,644,004
Total undiscounted financial assets	12,644,004	–	12,644,004
Financial liabilities:			
Financial liabilities carried at amortised cost	9,141,374	–	9,141,374
Total undiscounted financial liabilities	9,141,374	–	9,141,374
Total net undiscounted financial assets	3,502,630	–	3,502,630

19. Financial risk management objectives and policies (cont'd)

(b) Liquidity risk (cont'd)

Analysis of financial instrument by remaining contractual maturities (cont'd)

2018	One year or less IDR '000	One year or more IDR '000	Total IDR '000
Financial assets:			
Loans and receivables	12,501,945	–	12,501,945
Total undiscounted financial assets	12,501,945	–	12,501,945
Financial liabilities:			
Financial liabilities carried at amortised cost	12,298,290	–	12,298,290
Total undiscounted financial liabilities	12,298,290	–	12,298,290
Total net undiscounted financial assets	203,655	–	203,655

(c) Foreign currency risk

The Company is exposed to foreign currency risk on sales and expenses that are denominated in other currencies. The currencies giving rise to this risk are primarily the United States Dollar (USD). The Company also holds cash and cash equivalents denominated in foreign currency for working capital purposes.

The Company does not apply hedge accounting for such foreign currency denominated sales and expenses.

Sensitivity analysis for foreign currency risk

The following table demonstrates the sensitivity of the Company's profit before tax to a reasonably possible change in the USD exchange rates against the Company's functional currency, with all other variables held constant.

	Increase/(decrease) Profit before tax	
	2019 IDR '000	2018 IDR '000
USD		
- strengthened 5% (2018: 5%)	41,492	16,119
- weakened 5% (2018: 5%)	(41,492)	(16,119)

20. Capital management

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its business and maximise shareholder value.

The Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions. The Company relies on its immediate holding company to provide continuing financial support to enable the Company to repay its obligations as and when they fall due. At the end of the reporting period, amounts owing to immediate holding company and related company amounted to IDR 4,588,125,438 (2018: nil) and IDR 739,771,089 (2018: IDR 8,375,764,000) respectively.

21. Authorisation of financial statements

The financial statements for the year ended 31 March 2019 were authorised for issue in accordance with a resolution of the directors on 15 May 2019.